

TENTATIVE RULING(S) FOR June 10, 2026

Department S37 – Judge Winston Keh

This court follows California Rules of Court, rule 3.1308(b) for tentative rulings. (See San Bernardino Superior Court Local Emergency Rule 8.) Tentative rulings for each law & motion will be posted on the internet (<https://www.sb-court.org>) by 3:00 p.m. on the court day immediately before the hearing.

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UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.

CIVSB2224143

PRIME HEALTH v. INSIGHT

TENTATIVE RULING(S):

Before the Court is Plaintiffs' motion for discovery sanctions against Defendant Insight Screening. Plaintiffs move under Code Civil Procedure sections 2023.010, 2023.030, 2030.300, 2031.310, and 2033.290, for an order for monetary, issue, and evidence sanctions against Defendant Insight Screening on grounds that Defendant Insight Screening has engaged in serial misuses of the discovery process and other abusive litigation tactics. Those tactics include (1) violation of this Court's January 28, 2025 Order Granting Prime's motion to compel responses to Request for Production, Set No. One; (2) Insight Screening's failure to implement a litigation hold to prevent the spoliation of evidence; (3) Insight Screening's failure to produce a privilege log;

and (4) Insight Screening presenting an unprepared custodian of records at deposition. Defendant Insight Screening opposes. Plaintiffs have not replied (due on 6/03/2026).

ANALYSIS

The evidence presented shows that Insight Screening has acted in good faith throughout this litigation, has made substantial efforts to comply with this Court's January 28, 2025 Order, and has produced responsive documents in multiple productions despite significant logistical challenges associated with operating across state lines.

The evidence presented shows that Insight Screening has:

- (1) Produced documents on February 28, 2025, March 4, 2025, June 19, 2025, and October 31, 2025;
- (2) Met and conferred with Prime on numerous occasions, including April 15, April 21, June 9, and August 12, 2025, and beyond;
- (3) Provided search terms requested by Prime's counsel and conducted searches using those terms;
- (4) Made a records custodian available for deposition on November 24, 2025; and
- (5) Has continued producing documents even after the Court's order, despite Prime's characterizations to the contrary.

Here, Plaintiffs' contentions, argument and assertions are not supported by the evidence presented. Plaintiffs fail to present sufficient evidence of Insight Screening's complete failure to comply with the Court's Prior Order and that Insight Screening's failure to comply was willful. (*R.S. Creative, Inc. v. Creative Cotton, Ltd.* (1999) 75 Cal.App.4th 486, 496).

Plaintiffs' entire motion is based upon their own assumptions that Insight Screening has not produced all the responsive documents in their position. Yes, there are documented delays and information that indicates that Insight Screening did not search every avenue, box, or computer for all responsive documents. However, as soon as that issue was brought to Insight Screening and its counsel's attention Insight Screening continued to try to comply with obstacles beyond its control, and that were created by the Haydos and not Insight Screening, Bovy, or their counsel.

While Insight Screening's responses are not entirely code-compliant, Plaintiffs' remedies included: (1) file another motion to compel further responses; or (2) wait until trial and move to exclude any evidence that Insight Screening did not properly disclose in discovery. Therefore, the Court **denies** Plaintiffs' motion for sanctions in its entirety.

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CIVSB2224143

PRIME HEALTH v. INSIGHT

Motion(s): **Defendants Jennifer Haydon's and Joshua Haydon's Motions for**

Summary Judgment

Movant(s): **Defendants Jennifer Haydon and Joshua Haydon**

Respondent(s): **Plaintiffs Prime Healthcare Services, Inc., Prime Healthcare**

Management, Inc., and Prime Healthcare Services – Lehigh Acres LLC, d/b/a Lehigh Regional Medical Center

Factual and/or Procedural Context

This is a breach of contract action. On October 21, 2022, Plaintiffs Prime Healthcare Services, Inc. (PHS), Prime Healthcare Management, Inc. (PHM), and Prime Healthcare Services – Lehigh Acres, LLC d/b/a Lehigh Regional Medical Center (Lehigh Acres) (collectively, Plaintiffs or Prime) filed a Complaint against Defendants Insight Investigations, Inc. (Insight Investigations), Insight Screening, LLC (Insight Screening); Jennifer Haydon (Jennifer), Joshua Haydon (Joshua) (collectively the Haydons), and Shawn Bovy (Bovy) (collectively, Defendants). Plaintiffs allege a single cause of action for breach of contract.

Defendants answered.

Plaintiffs allege they are a community health system and that they contracted with Insight Investigations to conduct background checks on employee candidates for Lehigh Acres. As part of a December 17, 2017 Agreement (Agreement) to perform background checks, Insight promised it would defend, indemnify or hold Plaintiffs harmless from and against any and all losses of any kind arising from Insight Investigations' breach of the Agreement or their negligent acts or omissions arising out performance of its obligations under the Agreement. (Compl. ¶¶ 1 and 3.)

Plaintiffs further allege that on September 27, 2019, Plaintiffs asked Insight Investigations to conduct a background search on Christopher Stamulis (Stamulis), a candidate for a nurse position at Lehigh Acres. Insight Investigations' report on Stamulis failed to identify certain reprimands from Stamulis' North Carolina and Oregon nursing license records and instead reported his record as "clear". (Compl. ¶ 6.) In reliance on the report generated by Insight Investigations, Plaintiffs hired Stamulis to work at Lehigh Acres. (Compl. ¶¶ 5-7.)

Plaintiffs also allege that weeks after hiring Stamulis, a patient reported that Stamulis sexually assaulted her at Lehigh Acres. The patient sued Plaintiffs and Plaintiffs incurred approximately \$2 million in costs in defending and settling the patient's suit. In response to Plaintiffs' request for indemnification, Defendants allege the entity no longer exists and therefore cannot fulfil its obligations under the Agreement. (Compl. ¶¶ 8-10.)

Plaintiffs further allege that Insight Screening is liable to Prime, as the successor to Insight Investigations, for all damages to which Prime is entitled from Insight Investigations for Insight Investigations' breach of the Agreement in connection with the losses Prime has incurred defending and settling the Underlying Lawsuit. (Compl. ¶ 63.)

Plaintiffs also allege that the Haydon's and Bovy who dissolved Insight Investigations in an effort to escape its debts and have directed Insight Screening not to pay indemnity obligations that are owed to Prime, are personally liable for all damages to which Prime is entitled from Insight Investigations for Insight Investigations' breach of the Agreement connection with the losses Prime has incurred defending and settling the Underlying Lawsuit. (Compl. ¶ 64.) This is based upon an alter ego liability theory.

Before the Court are the Haydons' separate motions for summary judgment, asserting there are no triable issues - based upon alter ego liability. Plaintiffs opposes. The Haydons replied.

These motions were originally heard on January 22, 2025 by Judge Corey Lee. Judge Lee continued these motions to allow for additional discovery pursuant to Code of Civil Procedure section 437c, subdivision (h). Judge Lee also allowed the parties to file supplemental briefing based upon the additional discovery conducted.

Plaintiffs filed their supplemental opposition and the Haydons filed their joint supplemental reply. The basis of the motions still remains the same, alter ego liability.

With their supplemental opposition, Plaintiffs again request the motion be continued to conduct additional discovery. The Court denies Plaintiffs' request.

DISCUSSION

Plaintiffs' Evidentiary Objections to Joshua's and Jennifer's Respective UFs:

While entitled evidentiary objections, Plaintiffs actually assert 21 sets of objections to Joshua's and Jennifer's UF Nos. 1, 3-5, 7-9, 11-20, and 22-24 based upon (1) lack of foundation; (2) relevance; (3) legal conclusions; and, (4) hearsay, and not any objections to any specific item of evidence cited by Joshua and Jennifer in support of their respective MSJs.

California Rules of Court, rules 3.1352 and 3.1354 are both directed to “objections to evidence,” and Code of Civil Procedure section 437c, subdivision (b)(5), also refers to “[e]videntiary objections.” Separate statements are not evidence. (*Jackson v. County of Los Angeles* (1997) 60 Cal.App.4th 171, 178, fn. 4.) Because undisputed facts and argument are not evidence, they cannot be objected to. These “evidentiary” objections are improper. Therefore, the Court *overrules* Plaintiffs’ evidentiary objections to UF Nos. 1, 3-5, 7-9, 11-20, and 22-24 in their entirety.

Joshua’s and Jennifer’s Evidentiary Objections:

Objection No. 1 is to the Deposition of Shawn Bovy taken on Wednesday, September 22, 2021, in the matter of *Jane Doe v. Prime Healthcare Services, et al.* Case No. 20-CA-00325 (See Decl. Haines ¶ 6, Exhibit 5), as it is hearsay and is submitted against Jennifer, who was not a party to that case.

Before the additional discovery, the Court was inclined to sustain this objection because Plaintiffs had not established the requirements of Evidence Code section 1291, subdivision (a)(2) for admission of “former testimony” by showing he Haydons had a right and opportunity to cross-examine the declarant with an interest and motive similar to that presently held and the declarant is unavailable as a witness. (*Berroteran v. Superior Court* (2022) 12 Cal.5th 867, 882 [“introduction of ‘former testimony’ if the declarant is unavailable and the proponent shows that the objecting party had a ‘right and opportunity to cross-examine the declarant with an interest and motive similar to that which’ it would have at trial in the present case.”])

However, after Judge Lee’s continuance for additional discovery, Plaintiffs have now established the requirements of Evidence Code section 1291, subdivision (a)(2) for admission of “former testimony”, Plaintiffs have produced evidence that the Haydons, through their attorney were present at two subsequent depositions in this case of Bovy in which, the Haydons’ attorney was able to cross-examine Bovy with regard to his prior testimony at the Wednesday, September 22, 2021, in the matter of *Jane Doe v. Prime Healthcare Services, et al.* Case No. 20-CA-00325, wherein, Bovy verified and confirmed his answer to questions at issue were correct.

Therefore, Joshua and Jennifer's evidentiary Objection No. 1 is *overruled*.

Objection No. 2 is actually an objection to Plaintiffs' additional material facts numbers 1-71 and not an objection to any specific item of evidence submitted by Plaintiffs in support of their Opposition to Jennifer's MSJ.

As stated above, these are inappropriate objections. Therefore, the objection is *overruled*.

Joshua's and Jennifer's Objection No. 3 asserts evidentiary objections based upon hearsay to the Declaration of Amanda Jackson (Decl. Haines ¶ 5, Exhibit 4), which is part of the court file submitted in this action in support of Plaintiffs' Motion for Default Judgment. Jennifer asserts that the declaration contains hearsay statements made by a witness other than Haines offered to prove the truth of the matter stated without any exception. (Evid. Code, §§ 1200 and 1201; *Kulshrestha v. First Union Commercial Corp.* (2004) 33 Cal.4th 601, 609; *People v. Arias* (1996) 13 Cal.4th 92, 149; *In re Cindy L.* (1997) 17 Cal.4th 15, 27; *Hayman v. Block* (1986) 176 Cal.App.3d 629, 639; *Keniston v. American Nat. Ins. Co.* (1973) 31 Cal.App.3d 803, 813; and, *Water Management Agency v. McGrath* (2005) 128 Cal.App.4th 1093, 1107.)

First, this declaration sufficiently attests to facts to support a business records exception to the hearsay rule. (*Basich v. Allstate Ins. Co.* (2001) 87 Cal.App.4th 1112, 1118.) Second, Plaintiffs also attached the Jackson declaration to the Haines declaration for the convenience of the Court, Joshua, and Jennifer. Joshua's and Jennifer's evidentiary objections are not well founded. Also, Joshua's and Jennifer's evidentiary objections go to the weight and credibility of Amanda Jackson's testimony and not to its admissibility.

Therefore, Joshua's and Jennifer's evidentiary objection no. 3 is *overruled*.

Jennifer's and Joshua's Requests for Judicial Notice:

Jennifer and Joshua request the Court to take judicial notice of the following documentation and information in support of her MSJ pursuant to Evidence Code sections 452 and 453;

- (1) All documents on file in this matter, including but not limited to the pleadings and minutes therein;

- (2) Plaintiffs' Summons dated February 22, 2023. and Complaint dated October 21, 2022 (Joshua's RJN, Exh. 1);
- (3) Articles of Incorporation of Insight Investigations, Inc., dated January 28, 2003 (Jennifer's and Joshua's RJN and NOL, Exh. 2);
- (4) Bylaws of a California Corporation with Minutes of Corporate Records Articles, signed Jan. 28, 2003 [INSIGHTSCREENING000250-264] (Joshua's RJN, Exh. 3);
- (5) State of California Secretary of State Certificate of Status and Articles of Incorporation, dated January 28, 2003 (Jennifer's and Joshua's RJN and NOL, Exh. 4);
- (6) State of California Secretary of State Articles of Incorporation Insight Investigations, Inc., dated February 8, 2003 (Jennifer's and Joshua's RJN and NOL, Exh. 5);
- (7) State of Tennessee Articles of Organization Limited Liability Company Insight Screening, LLC, dated May 31, 2019 (Joshua's RJN, Exh. 12);
- (8) State of Tennessee Articles of Organization Limited Liability Company Insight Screening, LLC, dated May 31, 2019 (Jennifer's and Joshua's RJN and NOL, Exh. 13);
- (9) State of Tennessee Division of Business Services Department of State Filing Information Insight Screening LLC, dated May 31, 2019 (Jennifer's NOL, Exh. 14);
- (10) *Jane Doe v. Prime Healthcare Services — LeHigh Acres, LLC dba LeHigh Regional Medical Center, and Christopher J. Stamulis, RN*; Complaint for Damages, dated May 20, 2020, Case No. 20-CA- 0325 (Florida Circuit Court, Lee County) (Jennifer's RJN and NOL, Exh.16; and Joshua's RJN, Exh.14);
- (11) State of Tennessee Business Services Division - Change of Mailing Address, dated January 31, 2021 (Joshua's RJN, Exh. 15);
- (12) State of Tennessee Business Services Division - Change of Mailing Address, dated January 31, 2021 (Jennifer's RJN and NOL, Exh. 18; and Joshua's RJN, Exh. 15);
- (13) State of Tennessee Articles of Amendment to Articles of Organization LLC for Insight Screening filing, dated December 7, 2022 (Jennifer's RJN and NOL, Exh. 28; and Joshua's RJN, Exh. 23);

- (14) State of Tennessee Articles of Amendment to Articles of Organization LLC for Insight Screening filing, dated December 7, 2022 (Joshua's RJN, Exh. 23);
- (15) Articles of Merger for Insight Screening LLC, dated December 16, 2022 (Jennifer's RJN and NOL, Exh. 29);
- (16) State of Tennessee Department of Health, Board of Nursing, Verification of Jennifer Haydon Licensure, dated May 21, 2024 (Jennifer's RJN and NOL, Exh. 32);
- (17) State of Tennessee Department of Commerce License Summary of Jennifer Haydon (Jennifer's RJN and NOL, Exh. 33);
- (18) North Carolina Board of Nursing - Published Consent Order regarding Christopher James Stamulis, RN, dated March 12, 2019 attaching Oregon State Board of Nursing Stipulated Order for Reprimand of License dated January 18, 2019 (Jennifer's RJN and NOL, Exh. 35); and,
- (19) *Jane Doe v. Prime Healthcare Services — LeHigh Acres, LLC dba LeHigh Regional Medical Center, and Christopher J. Stamulis, RN*; Case No. 20-CA-00325; Defendant LeHigh Acres, LLC's Motion for Summary Judgment, dated March 4, 2022 (Jennifer's RJN and NOL, Exh. 36; and Joshua's RJN, Exh. 24).

Ironically, Plaintiffs object to Joshua's and Jennifer's respective requests for judicial notice as to some of the very same or similar documents that Plaintiffs requested judicial notice of in support of their MSA. In fact, Plaintiffs request the Court to limit the judicial notice of some documents and completely deny judicial notice of other documents. Plaintiffs' objections are disingenuous given their own request for judicial notice in support of their MSA.

The Court *GRANTS* Jennifer's RJN as to Exhs. 16 and 36 pursuant to Evidence Code section 452, subdivision (d), *GRANTS* Jennifer's RJN as to Exhs. 2, 4-5, 13-14, 18, 28-29, 32-33, and 35 pursuant to Evidence Code section 452, subdivisions (c) & (h), *GRANT* Joshua's RJN as to the existence of. Exhs. 1, 14 and 24 pursuant to Evidence Code section 452, subdivision (d), and *GRANTS* Joshua's RJN as to Exhs 2-5, 12-13, 15 and 23 pursuant to Evidence Code section 452, subdivisions (c) & (h).

Analysis:

The elements for a breach of contract are (a) existence of a contract, (b) plaintiff's performance or excuse for performance, (c) defendant's breach or anticipatory breach, and (d) resulting damages. (*Wall Street Network Ltd. v. N.Y. Times Co.* (2008) 164 Cal.App.4th 1171, 1176.)

Plaintiffs admitted that Joshua and Jennifer Haydon were not parties to the Agreement and/or Contract at issue. As such the only basis for individual liability as to Joshua and Jennifer Haydon for any alleged breach of the Agreement and/or Contract at issue is based upon alleged alter-ego liability.

The alter ego theory is used to "hold the alter ego individuals [or primary corporation] liable on the obligations of the corporation where the corporation form is being used by the individuals [or primary corporation] to escape personal liability, sanction a fraud, or promote injustice." (*Hennessey's Tavern, Inc. v. American Air Filter Co.* (1988) 204 Cal.App.3d 1351, 1359.) This theory is applicable whether the alter ego is an individual or corporation. (*Id.*) The purpose behind the doctrine is to prevent defendants who are the alter ego of sham corporations from escaping personal liability for its debts. (*Id.* at 1358.)

To state an alter ego theory, the plaintiff must establish a unity of interest and resultant injustice. (*Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 74.) Furthermore, the case law holds that before a corporate veil may be pierced (i) there must appear a such a unity in interest and ownership that the individuality of the corporation and owner(s) of the stock have ceased, and (ii) that allowing the corporate veil to stand would result in sanctioning of fraud or promoting injustice. (*Hennessey's Tavern, supra*, 204 Cal.App.3rd at 1358.) Both of these requirements must exist before the disregarding of the corporate existence. (*Associated Vendors, Inc. v. Oakland Meat Co.* (1962) 210 Cal.App.2d 825, 837.)

Whether an individual or a corporation is the alter ego of another is a question of fact. (*Institute of Veterinary Pathology, Inc. v. California Health Laboratories, Inc.* (1981) 116 Cal.App.3d 111, 119.) Additionally, whether the evidence establishes a basis to pierce a

corporate veil is a question of fact. (*Las Palmas Associates v. Las Palmas Center Associates* (1991) 235 Cal.App.3d 1220, 1248.)

Factors to consider, although not exhaustive, on whether an individual/corporation is an alter ego of another, and/or a corporate veil should be pierced include: (1) commingling of funds and other assets, failure to segregate funds of the separate entities, and the unauthorized diversion of corporate funds or assets to other than corporate uses; (2) the treatment by an individual of the assets of the corporation as his own; (3) the failure to obtain authority to issue stock or to subscribe to or issue the same; (4) the holding out by an individual that he is personally liable for the debts of the corporation; (5) the failure to maintain minutes or adequate corporate records, and the confusion of the records of the separate entities; (6) the identical equitable ownership in the two entities; the identification of the equitable owners thereof with the domination and control of the two entities; identification of the directors and officers of the two entities in the responsible supervision and management; sole ownership of all of the stock in a corporation by one individual or the members of a family; (7) the use of the same office or business location; (8) the employment of the same employees and/or attorney; (9) the failure to adequately capitalize a corporation; the total absence of corporate assets, and undercapitalization; (10) the use of a corporation as a mere shell, instrumentality or conduit for a single venture or the business of an individual or another corporation; (11) the concealment and misrepresentation of the identity of the responsible ownership, management and financial interest, or concealment of personal business activities; (12) the disregard of legal formalities and the failure to maintain arm's length relationships among related entities; (13) the use of the corporate entity to procure labor, services or merchandise for another person or entity; (14) the diversion of assets from a corporation by or to a stockholder or other person or entity, to the detriment of creditors, or the manipulation of assets and liabilities between entities so as to concentrate the assets in one and the liabilities in another; (15) the contracting with another with intent to avoid performance by use of a corporate entity as a shield against personal liability, or the use of a corporation as a subterfuge of illegal transactions; (16) and the formation and use of

a corporation to transfer to it the existing liability of another person or entity.” (*Zoran Corp. v. Chen* (2010) 185 Cal.App.4th 799, 811-812.)

A defendant meets its “burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action.” (Code Civ. Proc., § 437c, subd. (p)(2); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Ca1.4th 826, 854-855; and, *Collin v. CalPortland Co.* (2014) 228 Cal.App.4th 582, 587-588 [a defendant may meet its initial burden on summary judgment by showing, “through factually devoid discovery responses, that the plaintiff does not possess and cannot reasonably obtain needed evidence”].)

Once the defendant meets that burden, the burden shifts to the plaintiff “to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto.” (See Code Civ. Proc., § 437c, subd. (p)(2).) A defendant moving for summary judgment may rely on factually devoid discovery responses to shift the burden of proof to plaintiff. (*Union Bank v. Superior Court* (1995) 31 Cal.App.4th 573, 590.) “Once the burden shifts as a result of the factually devoid discovery responses, the plaintiff must set forth the specific facts which prove the existence of a triable issue of material fact.” (*Ibid.*) Plaintiff “shall not rely upon the mere allegations or denials of its pleadings to show that a triable issue of material fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto.” (Code Civ. Proc., § 437c, subd. (p)(2).)

The evidence presented shows and Plaintiffs concede that the Haydons are not parties to the Agreement Plaintiffs claim was breached and the undisputed evidence establishes they never represented to anyone that they were parties to the Agreement, never represented to anyone that they would be liable on behalf of Insight Investigations, Inc. or anyone else under the Agreement, or that they would be personally liable to anyone for the debts of Insight Investigation, Inc. or Insight Screening, LLC. (UF # 3.) (CACI 303. Breach of Contract – Essential Factual Elements.)

These undisputed facts shift to burden to Plaintiffs to establish a triable issue of material fact that there is any contract between the Haydons and any Plaintiffs. But, in addition, Plaintiffs

originally “answered comprehensive interrogatories by stating in effect that they had no specific facts supporting their claims against” the Haydons. (*Casey v. Perini Corp.* (2012) 206 Cal.App.4th 1222, 1231.) However, discovery is still ongoing. If, like here, “plaintiffs respond to comprehensive interrogatories seeking all known facts with boilerplate answers that restate their allegations, or simply provide laundry lists of people and/or documents, the burden of production will almost certainly be shifted to them once defendants move for summary judgment and properly present plaintiffs’ factually devoid discovery responses.” (*Andrews v. Foster Wheeler LLC* (2006) 138 Cal.App.4th 96, 107.)

Here, through their supplemental briefing and supplement material facts and evidence, Plaintiffs have sufficiently raised triable issues of material facts as to whether or not (1) the Haydons are alter egos of the corporate entity defendants; and (2) the Haydon’s are subject to alter ego liability for the alleged damages sustained by the Plaintiffs as a result of the Defendants’ alleged negligence.

There is no authority for Plaintiffs’ proposition that the Haydons as a former shareholders/officer of either defendant entity can be “held responsible for the debts of Insight Investigations (which appears to have been dissolved intentionally by its owners in an improper attempt to escape liability for its negligent actions)” (Compl. ¶ 64.) The Haydons are not a party to the Agreement and Insight Investigations, Inc. as a corporation “is regarded as a legal entity, separate and distinct from its stockholders, officers and directors, with separate and distinct liabilities and obligations.” (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 411 (“*Leek*”).)

“It is the plaintiff s burden to overcome the presumption of the separate existence of the corporate entity.” (See *Mid-Century Insurance Co. v. Gardner* (1992) 9 Cal.App.4th 1205, 1212.) Alter ego is an extreme remedy, sparingly used. The standards for the application of alter ego principles are high, and the imposition of [alter ego] liability is to be exercised reluctantly and cautiously. (*Highland Springs Conference & Training Center v. City of Banning* (2016) 244 Cal.App.4th 267, 281.) Before the acts and obligations of a corporation can be legally recognized as those of a particular person, and *vice versa*, the following combination of circumstances must be made to appear: (1) that the corporation is not only influenced and governed by that person,

but that there is such a unity of interest and ownership that the individuality, or separateness, of the said person and corporation has ceased; and (2) that the facts are such that an adherence to the fiction of the separate existence of the corporation would, under the particular circumstances, sanction a fraud or promote injustice. (*Minifie v. Rowley* (1921) 187 Cal. 481, 487.)

Both these factors are currently represented by the facts and evidence submitted by Plaintiffs. Here, Plaintiffs have shown there is a sufficient unity of interest and ownership between the corporation and the individual controlling it that a trier of fact could find that the separate personalities of the individual and the corporation no longer exist. (*Misik v. D'Arco* (2011) 197 Cal.App.4th 1065, 1072.)

The undisputed evidence shows that the Haydons were two of three shareholders of the corporation which was incorporated with the State of California, did not issued stock, did not comply with corporate formalities including holding meetings and maintaining records and allowed the Haydons - or any shareholder- to use its assets or employees for non-Insight Investigations, Inc. business or personal/family needs. (AF Nos. 1-71; and SF Nos. 1-39.)

There has also been admissible evidence presented that Insight Investigations, Inc. did not properly pay operating costs or employees. Indeed, a bank account in the name of the corporation was maintained and the shareholders and officers took loans, made withdraws, transferred or deposited money for non-Insight Investigations, Inc. business.

In other words, there are facts showing the blur of virtual identity of the three defendants. (*Minifie v. Rowley* (1921) 187 Cal. 481, 488.) There is also evidence from which a reasonable trier of fact could find that the corporation was a mere sham or shell. There is admissible evidence presented that the Haydons have diverted assets from the corporation to avoid paying creditors. (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 418.) There also admissible evidence of:

- (1) Domination and control of Insight Investigations, Inc. by the Haydons even though there where it was owned by three individuals. (*Lopez v. Escamilla* (2022) 79 Cal.App.5th 646, 651;

- (2) There is evidence of sole ownership of all of the stock in a corporation by the members of a family. (*Associated, supra*, 210 Cal.App.2d 825, 839);

- (3) There is evidence of the concealment and misrepresentation of the identity of the responsible ownership, management and financial interest, or concealment of personal business activities (*Id.* at pp. 839-840);
- (4) There is evidence of the treatment by individuals of the assets of the corporation as their own (*Greenspan v. LADTLLC* (2010) 191 Cal.App.4th 486, 512-513); and,
- (5) There is evidence of the disregard of legal formalities and the failure to maintain arm's length relationships among related entities (*Ibid.*) (SF Nos. 1-39.)

There is also evidence of the type of under capitalization supporting an alter ego finding which occurs when the capital is illusory or trifling compared with the business to be done and the risks of loss. (*Automotriz etc. De California v. Resnick* (1957) 47 Cal.2d 792, 797; and, *Associated, supra*, 210 Cal.App.2d at pp. 841-842 [However, evidence of inadequate capitalization is, at best, merely a factor to be considered by the trial court in deciding whether or not to pierce the corporate veil.])

The same applies to the Haydons as a former member of Insight Screening, LLC to the extent Plaintiffs claim that entity is liable under the Agreement between Prime and Insight Investigations, Inc. where the LLC was formed and but not operated in compliance with Tennessee laws and an operating agreement. (*People v. Pacific Landmark, LLC* (2005) 129 Cal.App.4th 1203, 1212 [alter ego required to pierce LLC corporate protections].)

Joshua and Jennifer correctly assert that Plaintiffs' apparent reliance on there being the same owners and officers at Insight Investigations, Inc. and then Insight Screening, LLC, before the Haydons' were bought out, does not change the analysis. (See, e.g., *Eleanor Licensing LLC v. Classic Recreations LLC* (2018) 21 Cal.App.5th 599, 616 ["Although it appears from the record that Classic Recreations and T&D Motor are closely held family businesses, the evidence submitted is insufficient to support the alter ego findings."].) Indeed, that Defendants Jennifer Haydon and her husband were "co-owners of the two businesses, were authorized to make all decisions related" to both businesses prior to this lawsuit being filed "in no way indicates any commingling of personal and corporate assets, use of corporate assets for personal purposes,

gross undercapitalization of the corporate entities, disregard of corporate formalities or any other of the many circumstances that might support the conclusion that no separation actually existed between these two individuals and the two corporate entities.” (See *Id.* at p. 616; see also, *Leek, supra*, 194 Cal.App.4th at p. 415 [“[a]n allegation that a person owns all of the corporate stock and makes all of the management decisions is insufficient to cause the court to disregard the corporate entity”])

Accordingly, the motions should be denied because there is evidence of a “unity of interest” sufficient “to destroy the individuality of the corporations and the owner or owners of their stock.” (See *Associated, supra*, 210 Cal.App.2d 825, 841.)

In addition, as Joshua and Jennifer argue, even if Plaintiffs could establish any unity of interest between Joshua and Jennifer Haydon and Insight Investigations, Inc., which they cannot based upon the evidence presented, “in order to recover under a theory of alter ego liability they also would have to show an inequitable result if [Joshua and/or Jennifer Haydon] and the corporation are not treated as one and the same.” (*Leek, supra*, 194 Cal.App.4th at p. 418.) “The alter ego doctrine does not guard every unsatisfied creditor of a corporation but instead affords protection where some conduct amounting to bad faith makes it inequitable for the corporate owner to hide behind the corporate form. (Difficulty in enforcing a judgment or collecting a debt does not satisfy this standard.” (*Sonora Diamond Corp. v. Superior Court* (2000) 83 Cal.App.4th 523, 539.)

Joshua and Jennifer assert that Plaintiffs have shown nothing close with respect to inequity. The Court disagrees. Based on the submitted evidence, a reasonable trier of fact could find inequity. (AF 1-71 and SF 1-39.)

Again, Joshua and Jennifer correctly assert that the simple fact that Joshua and Jennifer Haydon were previously a shareholder and officer of Insight Investigations, Inc. and then Insight Screening, LLC is not enough to establish this element. (See *Constellation-F, LLC v. World Trading 23, Inc.* (2020) 45 Cal.App.5th 22, 30 [evidence two companies “were ‘basically the same business’ “and “shareholders and directors were the same for both companies” showed “unity of interest and ownership, it does not show treating World Trading and World Tech as

separate entities would promote injustice. The fact that one company does business as another does not, without more, support an alter ego finding.”)]

However, the facts and evidence presented show that these two companies not only shared shareholders and officers but also clients, equipment, assets, capital and “corporate formalities”. In addition, the facts and evidence show that the two companies “commingling assets” and under-capitalizing Insight business and diverting “assets” from Insight Inc. to Insight Screening.

Based on the foregoing analysis, the Court rules as follows:

RULING

- (1) ***DENIES*** Joshua and Jennifer Haydon’s respective MSJs in their entirety, as Joshua and Jennifer have not met their burden of proof in showing that there are no triable issues of material fact and that they are entitled to summary judgment as a matter of law, as Plaintiffs have established triable issues of material fact concerning (1) a unity of interest and resulting injustice will occur if Insight Investigations, Inc.’s and/or Insight Screening, LLC’s corporate veils remain; (2) whether or not there is a basis to hold Joshua and/or Jennifer are Insight Investigations, Inc.’s and/or Insight Screening, LLC’s alter egos who should be liable for Insight Investigations, Inc.’s and/or Insight Screening, LLC’s contractual debt; and (3) whether or not the facts concerning Insight Investigations, Inc.’s and/or Insight Screening, LLC’s funds and assets being commingled are supported by the evidence. (Disputed UF Nos. 5, 7-9, 14-15, 17-24; and the cited evidence: Servais Decl., Haydons Decls., Haydons Depos., Bovy Depos. and Exhs. attached thereto; AF Nos. 1-71; and the cited evidence: Haines Decls. and Exhs. attached thereto; and SF Nos. 1-39; and the cited evidence: Haines Decls. and Exhs. attached thereto.)
- (2) ***OVERRULES in their entirety***, Plaintiffs’ 21 sets of Evidentiary Objections to Defendants Jennifer Haydon’s and Joshua Haydon’s undisputed material fact Nos. 1, 3-5, 7-9, 11-20, and 22-24.
- (3) ***OVERRULES in its entirety***, Defendants Jennifer and Joshua Haydon’s Evidentiary Objection No. 1 to the Deposition of Shawn Bovy taken on Wednesday September 22, 2021, in the matter of *Jane Doe v. Prime Healthcare Services, et al.* Case No. 20-CA-00325 attached as Exhibit 5 to the Declaration of Kelsey D. Hines as Defendants Jennifer and Joshua Haydon have been able to cross-examine Shawn Bovy as to his response to the questions at issue in these motions.
- (4) ***OVERRULES in their entirety***, Defendants Jennifer Haydon’s and Joshua Haydon’s Evidentiary Objection No. 2 to Plaintiffs’ additional material facts numbers 1-71.
- (5) ***OVERRULES in their entirety***, Plaintiffs’ Objections to Defendants Jennifer Haydon’s and Joshua Haydon’s Requests for Judicial Notice.

(6) *GRANTS in their entirety*, Defendants Jennifer Haydon's and Joshua Haydon's Requests for Judicial Notice.

(7) *DENIES* Plaintiffs' request for an additional continuance pursuant to Code of Civil Procedure section 437(c), subdivision (h).